

**Time:** 5 minutes**Outcome:** Analyze redistribution, shoeleather costs, menu costs, and price distortions.**Difficulty:**

Intermediate

Costs of Inflation



THE CORE IDEA

Unexpected inflation causes arbitrary redistribution of purchasing power between borrowers and lenders on fixed nominal contracts. Even expected inflation has costs: changing prices uses resources (menu costs), economizing on cash takes effort (shoeleather costs), and uneven price changes obscure relative-price signals. Taxes on nominal interest or gains can also distort real returns when tax rules are not fully indexed.



HOW TO RECOGNIZE IT

- Unexpected inflation lowers the real repayment on a fixed nominal debt.
- Menu costs are resources spent changing posted prices.
- Shoeleather costs arise from efforts to hold less money during inflation.
- Relative-price confusion can make economic decisions harder.



WATCH OUT

Do not confuse shoeleather costs with menu costs. Shoeleather costs are the wasted effort people spend trying to hold less money during inflation.



WORKED EXAMPLE: UNEXPECTED INFLATION REDISTRIBUTION

A lender makes a 9% loan expecting 3% inflation, so the expected real return is approximately 6%. Actual inflation turns out to be 10%, making the realized real return approximately $9\% - 10\% = -1\%$. Unexpected inflation transfers purchasing power from the lender to the borrower.



CHECK YOURSELF

A student says, "If everyone correctly expects 6 percent inflation, inflation has no economic costs." Which response is best?

**READY?**

Return to the game and master this concept.